

INTERPRETIVE NOTE · EDITORIAL COMMENTARY

The Unitary Qualifying Ratio — A Boundary Artifact

On the proportionality principle in the second proviso to Rule 3(1)(a), Electricity Rules 2005 — as formulated in *M/s. Dakshin Gujarat Vij Company Ltd. v. M/s. Gayatri Shakti Paper & Board Ltd.*, 2023 INSC 886 [corpus SC-001], and applied in *JSW Energy Ltd. v. Karnataka Electricity Regulatory Commission*, High Court of Karnataka, 12 June 2026 [corpus HC-007].

NATURE OF THIS NOTE

This is analytical commentary prepared on the digest corpus. It is **not** a statement of any court's holding or *ratio*. Where it argues that a result is right or wrong, that is the author's reasoned interpretation, expressly identified as such and offered for verification against the judgments themselves.

THESIS

The “every 1% of ownership → 1.96% of consumption” formulation (the *Unitary Qualifying Ratio*, UQR) is a **boundary artifact**. It is self-consistent only where the captive users hold ~26% of the plant in aggregate, and it **over-counts the required consumption** the moment they hold more — disqualifying users who plainly satisfy the 26% ownership floor, the 51% consumption floor, *and* proportionality. Read faithfully, the UQR must yield to Rule 3's aggregate thresholds and to the share-of-51% distribution method the Supreme Court expressly adopted from *Kadodara*.

1. THE PROPOSITION UNDER SCRUTINY

The second proviso to Rule 3(1)(a) sets three conjunctive requirements for a group-captive (association-of-persons) structure: the captive users must (i) hold $\geq 26\%$ of the ownership in aggregate; (ii) consume $\geq 51\%$ of the annual generation in aggregate; and (iii) do so *in proportion to their shares in ownership, within a variation not exceeding $\pm 10\%$* .

In *Dakshin Gujarat* (para 43) the Court, adopting Mr. Ramachandran's illustration, distilled requirement (iii) into a single ratio:

$$\text{UQR} = 51\% \div 26\% = 1.9615 \approx 1.96 \Rightarrow \text{each 1\% of ownership carries a consumption duty of 1.96\% of generation (band } \pm 10\% \rightarrow 1.764\% \text{ to } 2.156\%)$$

2. WHY THE RATIO BREAKS ABOVE THE 26% FLOOR

The UQR is nothing more than the ratio of *two independent minima*. Summing the per-user duty $1.96 \times \text{ownership}_i$ reproduces the 51% aggregate *only* when total captive ownership equals exactly 26%. Above that point the fixed 51% floor does not move, but the formula keeps scaling — so it demands the impossible:

AGGREGATE CAPTIVE OWNERSHIP	LITERAL UQR DUTY	AGGREGATE CONSUMPTION DEMANDED
26%	1.96% per 1%	51% ✓ (true by construction)
50%	1.96% per 1%	98% ✗

AGGREGATE CAPTIVE OWNERSHIP	LITERAL UQR DUTY	AGGREGATE CONSUMPTION DEMANDED
100%	1.96% per 1%	196% X (impossible)

Rule 3 fixes 51% as a *sufficient floor*; it does not rise with ownership. The correct “consumption duty per 1% of the plant” is therefore not the constant 1.96 but a *declining* quantity:

$$\text{duty per 1\% of ownership} = 51 \div (\text{aggregate captive ownership \%}) \text{ — } 1.96 \text{ at } 26\%, 1.02 \text{ at } 50\%, 0.51 \text{ at } 100\%$$

The figure 1.96 silently assumes a **thin captive slice** — captive users sitting at the 26% minimum while outside investors hold the balance. That is the common group-captive shape, which is why the elaboration reads plausibly; but it is an assumption, not a universal law, and it fails for any structure in which the captive users own materially more than 26%.

3. THE CORRECTIVE IS ALREADY INSIDE THE JUDGMENT

Immediately before stating the UQR, the Court (para 42) *adopts Kadodara* [corpus HC-006] — and *Kadodara*’s method is the antidote. It distributes the **51% qualifying requirement** across owners *by ownership share* and tests each against their own slice within $\pm 10\%$. Its illustration: on 10,000 kWh generated, 5,100 kWh (51%) must be consumed by the owners; three equal owners each consume $\frac{1}{3}$ of 5,100 = **1,700 kWh (17% of generation)**, band 1,530–1,870 — expressly *not* assessed on 100% of generation.

That 17% figure is mathematically **incompatible** with a universal 1.96 floor (which would demand $33\% \times 1.96 = 65\%$ each). Because the Court said it “*agree[s] with the reasoning in Kadodara*” and merely wished to “*elaborate*”, the UQR elaboration must be harmonised *downwards to Kadodara* — not read to override the very method it endorsed.

Structurally, requirement (iii) is a **distributional** test — does each user’s *share* of consumption track their *share* of ownership? — layered on top of the aggregate 26%/51% floors. The UQR re-expresses that test as an *absolute* rate against total generation, and the two coincide only at the 26% point. Purpose confirms the reading: the anti-gaming discussion (paras 45–47) targets “*a 1% or an insignificant shareholder [who] disproportionately uses the electricity*” — a consumption-to-ownership ratio that is *too high*. The UQR is thus a **floor-screen against token owners**, not a ceiling that punishes substantial, proportional ones.

THE RULE, CORRECTED

Where the captive users own **X%** in aggregate ($X \geq 26$), a user owning $x_i\%$ must consume at least $(x_i \div X) \times 51\%$ of generation, within $\pm 10\%$, subject to the aggregate consumption being $\geq 51\%$. The UQR of 1.96 is simply the special case $X = 26$. Reading 1.96 as invariant demands aggregate consumption above the 51% that the Rule itself declares sufficient, and is therefore self-defeating.

4. WORKED EXAMPLE

TWO CAPTIVE USERS — 25% / 25% OWNERSHIP, 30% / 30% CONSUMPTION

- Aggregate ownership $50\% \geq 26\%$ ✓ · aggregate consumption $60\% \geq 51\%$ ✓
- Ownership shares 50 : 50, consumption shares 50 : 50 → perfectly proportional ✓

- Correct per-user minimum = $(25 \div 50) \times 51\% = 25.5\%$; each consumes 30% → **qualifies**.
- Literal UQR: $1.764 \times 25 = 44.1\%$ each, i.e. **88% together** ✗ — the *reductio* that disproves the universal reading.

The mischief the Court feared — a *small owner* who is a *big consumer* — is the exact opposite of these facts (large owners, modest consumers, ratio 1.2). There is nothing here for the anti-gaming screen to catch; only the mis-calibrated formula generates a disqualification.

5. WHAT KARNATAKA HC DECIDED — AND DID NOT

JSW Energy [HC-007] confronted a *different* defect. KERC’s Clause 6.7 recomputed the UQR **dynamically, against total actual consumption ÷ total ownership** (a floating “Y ÷ X”). The High Court held (paras 45–49) that *Dakshin Gujarat* anchors proportionality to the *qualifying* 51%, not to actual consumption, so KERC had effectively rewritten Rule 3; it quashed the order (and on a parallel natural-justice / no-fresh-consultation ground) and remitted it.

But in doing so the Court **re-affirmed the “fixed, constant baseline UQR” of 1.96 per 1% of ownership** (para 46). It framed the entire contest as *qualifying-51% versus total-actual-consumption*, and never reached the situation in which **aggregate captive ownership exceeds 26%** — precisely where the over-counting bites. The scenario in Part 4 is thus genuinely unaddressed, and arguably *re-entrenched* by para 46. Correcting the actual-vs-qualifying denominator does not cure a formula whose numerator already scales past 51%.

BOTTOM LINE

The binding content is Rule 3’s thresholds plus *Kadodara*’s share-of-51% distribution; the 1.96 UQR is a boundary illustration and an anti-gaming floor, not an operative disqualifier above 26% ownership. A remitted KERC procedure — or any future bench — that applies 1.96 as a universal per-user multiplier will reproduce exactly the error identified here. That gap is a clean ground for a representation on the remit, or for the next appeal.

Editorial commentary prepared from the text of the cited judgments and Rule 3 of the Electricity Rules 2005. It records a reasoned interpretation and an identified open question; it is not legal advice and is not a substitute for the judgments, which should be read in full before use.